

APPENDIX 1
(*Referred to in paragraph 1*)

The Reference

**Reference to the Monopolies Commission
under Section 6 of the
Monopolies and Mergers Act 1965**

1. Whereas it appears to the Board of Trade that arrangements are in progress or contemplation for the merger of British Insulated Callender's Cables Limited and Pyrotenax Limited being arrangements which, if carried into effect, will result in section 6(1)(a) and (b) of the Monopolies and Mergers Act 1965 being satisfied in that—

- (i) an enterprise carried on by or under the control of Pyrotenax Limited will cease to be distinct from an enterprise carried on by or under the control of British Insulated Callender's Cables Limited ;
- (ii) the conditions described in section 6(1)(b)(i) of the Act (monopoly conditions) will prevail or prevail to a greater extent as respects the supply in the United Kingdom of mineral insulated electric cables :

Now, therefore, the Board of Trade in pursuance of the powers conferred upon them by section 6(7) of the said Act hereby refer this matter to the Monopolies Commission for investigation and report.

2. The Commission when investigating and reporting upon the facts shall not consider whether the provisions of section 6(1)(b)(ii) of the Act are satisfied.,

3. The Commission shall report upon this matter within six months from the date of this reference.

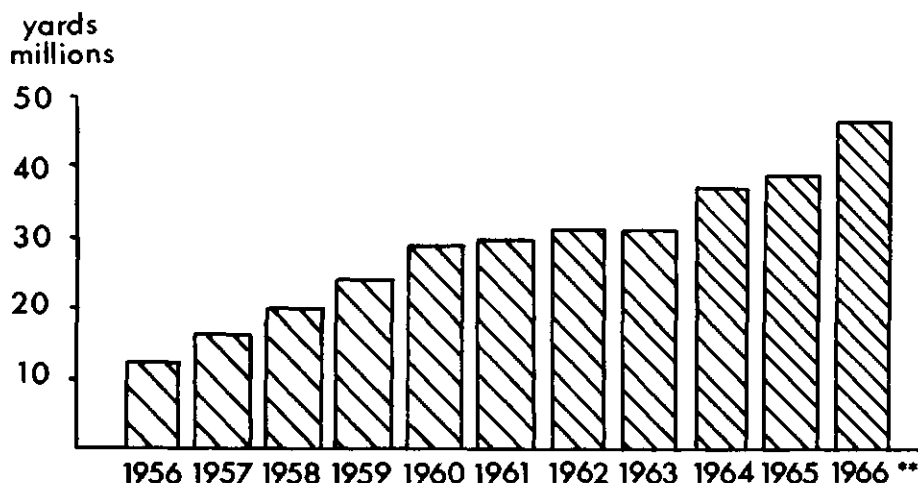
Dated 7th December 1966.

(*signed*) F. W. GLAVES-SMITH,
An Under Secretary of the Board of Trade.

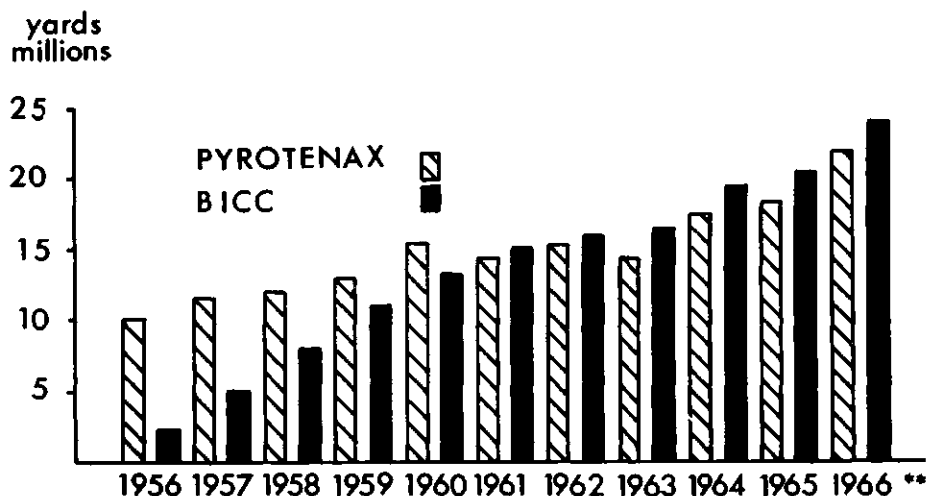
APPENDIX 2

(Referred to in paragraphs 20 and 67)

(a) Volume of yearly output of standard mineral insulated cable in the United Kingdom,* 1956-1966



(b) Contributions of Pyrotenax and BICC to yearly output as above, 1956-1966



* Standard cable is defined as mineral insulated copper covered cable having one, two, three, four or seven copper conductors and being of 250, 440, 500 or 660 volts classification. Standard cable represents the bulk of mineral insulated cable production. There are no common means of measuring the other types of mineral insulated cable produced. The data given above reflect the aggregates of the yearly volume outputs of Pyrotenax Ltd. and BICC's Mineral Insulated Cables Division; the output of the only other producer in the United Kingdom, Glynwed Ltd., has been ignored.

** Yearly rate of six months' output.

APPENDIX 3

(Referred to in paragraph 75)

Price Histories of Mineral Insulated Cable Manufactured and Supplied by Pyrotex and BICC

Prices are for 1,000 yards, 660 volt, bare

Date of price change	Ref. no. 1 × .04		Ref. no. 2 × .007		Ref. no. 3 × .0045		Ref. no. 4 × .0225		Ref. no. 7 × .003	
	Pyrotex	BICC	Pyrotex	BICC	Pyrotex	BICC	Pyrotex	BICC	Pyrotex	BICC
	£ s. d.	£ s. d.	£ s. d.	£ s. d.	£ s. d.	£ s. d.	£ s. d.	£ s. d.	£ s. d.	£ s. d.
17. 4.61...	302 5 0		228 0 0		219 7 6		684 15 0		338 5 0	
4. 9.61...	311 5 0		232 10 0		223 17 6		698 12 6		345 0 0	
18. 9.61...		318 5 0		237 13 0		229 10 0		713 0 0		352 18 0
29.10.62...	317 10 0		237 2 6		228 7 6		712 12 6		351 17 6	
26.11.62...		324 0 0		242 10 0		233 15 0		726 10 0		359 0 0
6. 7.64...	336 0 0		245 0 0		236 0 0		748 0 0		362 0 0	
13. 7.64...		336 0 0		245 0 0		236 0 0		748 0 0		362 0 0
26.10.64...	363 0 0		255 0 0		245 0 0		778 0 0		377 0 0	
4.11.64...		363 0 0		255 0 0		245 0 0		778 0 0		377 0 0
17. 5.65...	370 0 0		262 0 0		252 0 0		800 0 0		386 0 0	
31. 5.65...		369 0 0		259 10 0		249 10 0		790 0 0		382 10 0
22.11.65...	392 0 0		271 0 0		261 0 0		840 0 0		400 0 0	
29.11.65...		391 0 0		268 10 0		258 0 0		817 10 0		405 10 0
10. 1.66...	407 14 0	411 10 0	281 8 0	279 0 0	271 8 0	268 0 0	873 12 0	850 0 0	416 0 0	421 10 0
28. 2.66...	417 0 0		287 0 0		276 10 0		890 0 0		424 0 0	
7. 3.66...		414 10 0		285 0 0		274 0 0		884 0 0		426 0 0
12. 4.66...		464 0 0		313 10 0		301 10 0		972 10 0		468 10 0
23. 5.66...	458 10 0		310 0 0		298 10 0		979 0 0		458 0 0	
31. 5.66...		456 0 0		308 0 0		296 0 0		972 10 0		464 10 0

Note.—These types of cable are regarded as representative (at least so far as price changes are concerned) of the large range of types available. The reference numbers at the top of each column are shorthand descriptions of the types of cable, e.g. 1 × .04 means that the cable has one conductor having a nominal area of .04 square inches.

APPENDIX 4
(Referred to in paragraphs 88 and 89)

Pyrotenax Ltd. and its Subsidiaries

Sales, profits and profit rates for the five and a half years ended 1st October 1966

£'000

	31st March 1962			31st March 1963			31st March 1964			31st March 1965			31st March 1966			6 months to 1st Oct. 1966		
	Pyrotenax Ltd.	Overseas manufg. subsidiaries	Group	Pyrotenax Ltd.	Overseas manufg. subsidiaries	Group	Pyrotenax Ltd.	Overseas manufg. subsidiaries	Group	Pyrotenax Ltd.	Overseas manufg. subsidiaries	Group	Pyrotenax Ltd.	Overseas manufg. subsidiaries	Group	Pyrotenax Ltd.	Overseas manufg. subsidiaries	Group
Sales	3,445	1,311	4,577	3,394	1,466	4,790	3,685	1,502	5,102	4,170	1,633	5,714	4,512	1,940	6,355	2,276	1,285	3,534
Trading profit, after deducting all costs ...	582	158	734	557	242	797	574	280	853	581	290	870	599	334	931	274	267	528
Other income	29	4	33	24	3	27	34	5	39	28	5	33	32	11	43	7	—	7
Total profit	611	162	767	581	245	824	608	285	892	609	295	903	631	345	974	281	267	535
Trading profit as percentage of sales ...	17%	12%	16%	16%	17%	17%	16%	19%	17%	14%	18%	15%	13%	17%	15%	12%	21%	15%
Trading profit as percentage of capital employed	39%	19%	31%	36%	26%	32%	35%	27%	32%	34%	26%	31%	22%	28%	30%	N/A	N/A	N/A
Total profit as percentage of capital employed...			32%			33%			33%			31%			30%			

Notes:

1. Inter-company trading items have been eliminated in the group figures.
2. Sales are shown after deduction of trade discounts and rebates but before deduction of settlement discounts.
3. Other income includes royalties from overseas, income from investment in an associated company and other miscellaneous income.
4. In calculating total profit rates, other income has been added to trading profit and the relevant figures of capital employed include interests in associated companies.
5. In the computations of capital employed fixed assets have been included at balance sheet values (historic cost less depreciation).

British Insulated Callender's Cables Ltd.

Mineral Insulated Cables Division

Sales, profits and profit rates for the four and a half years ended 2nd July 1966

£'000

	31st December 1962	31st December 1963	31st December 1964	31st December 1965	First 26 weeks of 1966
Sales	3,285	3,355	3,800	4,418	2,543
Trading profit, after deducting all costs	283	309	323	538	375
Trading profit as percentage of sales	9%	9%	9%	12%	15%
Trading profit as percentage of capital employed	15%	15%	16%	23%	30%

Notes:

1. Sales are shown after deduction of trade discounts and rebates but before deduction of settlement discounts.
2. In the computations of capital employed fixed assets have been included at balance sheet values (historic cost less depreciation).

APPENDIX 5

Assurances given to the Monopolies Commission by British Insulated Callender's Cables Ltd.

(a) That the future commercial development (including the necessary research) and exploitation of mineral insulated cable in the United Kingdom and overseas will not be hampered by other BICC interests (see paragraph 146) ;

(b) that the cost reductions achieved as a result of the merger will be used to promote the use of and expand the sale of mineral insulated cable and to reduce net selling prices to customers (or to avoid increases that would otherwise have been necessary) (see paragraph 149) ;

(c) that BICC will continue to supply wholesale distributors with mineral insulated cable on normal commercial terms* (see paragraph 150) ;

(d) that BICC will continue to supply other cable makers with mineral insulated cable, and will do so at prices and on terms*, and with service and continuity of supply, which will make it commercially practicable for them to participate in sales of mineral insulated cable (see paragraph 157) ;

(e) that BICC will not give its own electrical contracting organisation more favourable prices, terms*, service or continuity of supply for mineral insulated cable than it gives to other comparable electrical contractors (see paragraph 157) ;

(f) that BICC will not offer specially favourable prices or terms* for mineral insulated cable to customers for the purpose of winning business in other types of cable (see paragraph 157) ;

(g) that BICC will not offer uneconomic prices or terms* for mineral insulated cable to customers calculated to drive competitors out of the business of supplying mineral insulated cable (see paragraph 157) ;

(h) that BICC will publish its list prices and will make available to each category of customer its terms* for mineral insulated cable appropriate to that category (see paragraph 157) ;

(i) that, if at any time the Board of Trade should so request, BICC will grant licences under any patents relating to mineral insulated cable, including accessories, on reasonable terms (see paragraph 157).

* The word ' terms ' here includes terms and conditions as to discounts, rebates and credit.